

Module 1

Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

BAJ Partnership		
Statement of profit or loss and other comprehensive income		
For the year ended 30 September 2020		
	HK\$	HK\$
Sales		7,310,000
Cost of sales		
Opening inventory	569,000	
Purchases	2,225,000	
Carriage inwards	334,000	
	<u>3,128,000</u>	
Less: Closing inventory	<u>(432,000)</u>	<u>(2,696,000)</u>
Gross profit		4,614,000
Add: Other income		
Commission income [HK\$680,500 – (HK\$88,000 / 4 x 3)]		614,500
Profit on disposal [HK\$1,560,000 – (HK\$2,600,000 – HK\$1,132,000)]		<u>92,000</u>
		5,320,500
Less: Expenses		
Carriage outwards	465,000	
Salaries (HK\$769,000 + HK\$78,000)	847,000	
Rent and rates	593,000	
Bank loan interest (HK\$4,000,000 x 3%)	120,000	
Utilities	432,400	
Sundry expenses	124,200	
Impairment loss on trade receivables (HK\$29,000 - HK\$25,000)	4,000	
Depreciation on furniture and equipment (HK\$11,560,000 – HK\$2,600,000) / 20 years	448,000	
Depreciation on motor vehicles (HK\$1,200,000 – HK\$320,000) x 10%	<u>88,000</u>	<u>(3,121,600)</u>
Profit and other comprehensive income for the year		<u>2,198,900</u>

Answer 1(b)

BAJ Partnership

Appropriation account for the year ended 30 September 2020

	HK\$	HK\$
Profit for the year		2,198,900
Interest on drawings:		
- Ben (HK\$50,000 x 2%)		1,000
- Ada (HK\$40,000 x 2%)		800
- Jade (HK\$50,000 x 2%)		1,000
		<u>2,201,700</u>
Less: Interest on capital:		
- Ben (HK\$1,000,000 x 4%)	40,000	
- Ada (HK\$1,000,000 x 4%)	40,000	
- Jade (HK\$1,000,000 x 4%)	40,000	(120,000)
		<u>(120,000)</u>
Salary:		
- Ada	300,000	
- Jade	400,000	(700,000)
		<u>(700,000)</u>
Remaining profit		<u>1,381,700</u>
Remaining profit allocated to:		
- Ben (HK\$1,381,700 / 5 x 2)		552,680
- Ada (HK\$1,381,700 / 5 x 2)		552,680
- Jade (HK\$1,381,700 / 5 x 1)		276,340
		<u>1,381,700</u>

Answer 1(c)

BAJ Partnership
Statement of financial position as at 30 September 2020

	HK\$ Cost/ Valuation	HK\$ Accumulated depreciation	HK\$ Carrying amount
ASSETS			
Non-current assets			
Furniture and equipment	*8,960,000	[^] 2,496,000	6,464,000
Motor vehicles	1,200,000	^{**} 408,000	792,000
	<u>10,160,000</u>	<u>2,904,000</u>	<u>7,256,000</u>
Current assets			
Inventory		432,000	
Trade receivables	678,000		
Less: Allowance for doubtful debts	<u>(29,000)</u>	649,000	
Cash at bank (HK\$488,000 + HK\$1,560,000)		<u>2,048,000</u>	3,129,000
Total assets			<u><u>10,385,000</u></u>
CAPITAL AND LIABILITIES			
Capital account			
Ben			1,000,000
Ada			1,000,000
Jade			1,000,000
Current account			
Ben			¹ 776,180
Ada			² 1,077,680
Jade			³ 870,340
Total capital			<u><u>5,724,200</u></u>
Non-current liabilities			
3% Bank loan			4,000,000
Current liabilities			
Trade payables		456,800	
Commission income receivable (HK\$88,000 / 4 x 3)		66,000	
Interest payable (HK\$120,000 – HK\$60,000)		60,000	
Accruals		<u>78,000</u>	660,800
Total liabilities			<u><u>4,660,800</u></u>
Total equity and liabilities			<u><u>10,385,000</u></u>

- * HK\$11,560,000 - HK\$2,600,000
- ^ HK\$3,180,000 - HK\$1,132,000 + HK\$448,000
- ** HK\$320,000 + HK\$88,000
- 1 HK\$234,500 - HK\$50,000 - HK\$1,000 + HK\$40,000 + HK\$552,680
- 2 HK\$225,800 - HK\$40,000 - HK\$800 + HK\$40,000 + HK\$300,000 + HK\$552,680
- 3 HK\$205,000 - HK\$50,000 - HK\$1,000 + HK\$40,000 + HK\$400,000 + HK\$276,340

Answer 2

- (1) Offsetting concept has been violated.

Under the offsetting concept, organisations should not offset transactions on financial statements, unless a specific standard requires or permits them to do so. Entities are expected to report all assets and liabilities, as well as income and expenses, and offsetting guidelines must be followed.

Therefore, Gateway Online Mall should not offset sales transactions with purchases. It would make the financial statements more difficult to understand and unable to communicate useful financial information to users. The company should clearly and separately record both sales and purchase transactions in the accounting records.

- (2) Accrual basis of accounting has been violated.

Under the accrual basis accounting, revenues and expenses are recognised in the statement of profit or loss and other comprehensive income when they arise, but not when cash is received or paid.

Therefore, Gateway Online Mall should not record when cash is received or paid. With financial reporting in Hong Kong, all transactions should be recorded when incurred and be based on actual change in economic resources. Since Gateway is a supermarket, revenue and purchases should be recorded/ accrued when the title and ownership of the relevant merchandise have been passed.

Answer 3(a)

	HK\$	HK\$
(1) Suspense	450,000	
Purchases		450,000
Being purchase of motor vehicle through car loan but wrongly recorded in purchase and suspense account.		
Motor vehicle	450,000	
Car loan		450,000
Being correct double entries to record the purchase of motor vehicle by way of car loan.		
Depreciation expense	22,500	
Accumulated depreciation		22,500
(HK\$450,000 x 20% / 12 x 3)		
Being omission of depreciation expenses on motor vehicles.		
Interest expense	6,750	
Bank (HK\$450,000 x 6% / 12 x 3)		6,750
Being omission of interest on car loan.		
(2) Suspense	5,000	
Sales		5,000
Being sales journal undercast.		
(3) Rent	40,000	
Utility		40,000
Being rental expense wrongly recorded in utility account.		
(4) Bank	132,000	
Trade receivables (HK\$66,000 x 2)		132,000
Being double entries on settlement from customers completely reversed.		
(5) Suspense	9,000	
Trade payables (HK\$21,000 – HK\$12,000)		9,000
Being returns outwards overstated in the trade payables account.		

Answer 3(b)

		HK\$
Profit for the year		1,780,000
Add:	Motor vehicle wrongly recorded in purchase account	450,000
	Sales understated	5,000
		<u>2,235,000</u>
Less:	Depreciation expense on motor vehicle	(22,500)
	Interest on car loan	(6,750)
		<u>2,205,750</u>

Answer 4(a)

Cash book			
Oct 2020	HK\$	Oct 2020	HK\$
Balance b/f	4,500	Trade receivables – dishonoured cheque ³	56,000
Error: Credit side overcast ⁶	42,000	Error: payment entered in the wrong side ⁴ (HK\$7,000 x 2)	14,000
Adjusted balance c/f	24,800	Error: Utilities understate ⁵ (HK\$5,800 – HK\$4,500)	1,300
	<u>71,300</u>		<u>71,300</u>

Answer 4(b)

Walton Limited	
Bank reconciliation statement as at 31 October 2020	
	HK\$
Overdraft as per bank statement	*(78,300)
Add: Deposit in transit ¹	103,500
	<u>25,200</u>
Less: Unpresented cheque ²	(45,000)
Bank error: receipts wrongly entered into Walton's bank account ⁷	(5,000)
Overdraft as per adjusted cash book balance	<u>(24,800)</u>

*Balancing figure.

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